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More competition, always

One of the four categories of market failure is market power, i.e., uncompetitive market conditions. The market economy yields good outcomes for society when, and only when, there are high levels of competition. Competition pushes firms to cut costs, to innovate, and to deliver the best bargains for customers. When competitive pressure is lacking, firms degrade into inefficiency but obtain supernormal profits. This works badly for the economy. Every lever of public policy should be applied to address this market failure, to reduce entry barriers and increase competition.

Every firm wants peace of mind

When competition is achieved, the market economy pushes firms to ceaselessly work hard. Every CEO is looking for a way out of the grind. Every firm is looking for a way to obtain some edge, that others cannot compete with, after which wealth and peace of mind can be obtained.

As an example, IT entrepreneurs are very focused on creating ‘network effects’ through which a firm like Facebook or Amazon is able to set up a position on the market that is unassailable, and then earn supernormal profits and peace of mind. The phrase ‘network effects’ is freely used by technologists but it should make us uncomfortable. Market power is a market failure, whether this is done by old-style cartels or new-age technologists. [1]